

**DISTRIBUTION OF RETURNS' ESTIMATED TAX CHANGE FROM THE TAX PROVISIONS OF
THE BUDGET RECONCILIATION LEGISLATIVE RECOMMENDATIONS RELATED TO TAX
AS ORDERED REPORTED BY THE COMMITTEE ON WAYS AND MEANS ON MAY 14, 2025^[1]**

Calendar Year 2027

Income Category ^[2]	Percentage of Returns ^[3]				
	Tax Decrease		Tax Change of Less Than \$100	Tax Increase	
	Greater Than \$500	\$100 to \$500		\$100 to \$500	Greater Than \$500
Less than \$15,000.....	2.2 %	1.4 %	94.0 %	0.9 %	1.5 %
\$15,000 to \$30,000.....	18.0 %	30.8 %	45.9 %	1.8 %	3.5 %
\$30,000 to \$40,000.....	38.9 %	15.0 %	40.6 %	2.4 %	3.2 %
\$40,000 to \$50,000.....	51.9 %	7.7 %	34.4 %	2.8 %	3.3 %
\$50,000 to \$60,000.....	61.2 %	8.3 %	25.2 %	2.4 %	3.0 %
\$60,000 to \$80,000.....	67.8 %	6.0 %	20.2 %	2.9 %	3.2 %
\$80,000 to \$100,000.....	73.1 %	5.5 %	15.7 %	1.8 %	3.9 %
\$100,000 to \$150,000.....	84.5 %	3.8 %	5.3 %	2.0 %	4.4 %
\$150,000 to \$200,000.....	90.7 %	2.3 %	1.8 %	1.1 %	4.1 %
\$200,000 to \$500,000.....	93.2 %	1.0 %	0.9 %	0.8 %	4.1 %
\$500,000 to \$1,000,000.....	91.6 %	0.4 %	0.2 %	0.4 %	7.4 %
\$1,000,000 and Above.....	73.9 %	0.6 %	0.8 %	0.5 %	24.3 %
Total, All Taxpayers.....	58.8 %	8.2 %	27.5 %	1.8 %	3.6 %

Joint Committee on Taxation

Note: Details may not add to totals due to rounding

[1] This table provides a distributional analysis of individual returns' estimated tax changes from the provisions in JCX-22-25R, excluding Subtitle A, Part I, Provisions 6, 9, 10, 15, 16 (in part), and 17 through 22; Subtitle A, Part II, Provisions 4 through 11 and 13 through 16; Subtitle A, Part III; Subtitle B; Subtitle C, Part I, Provisions 1 through 17, 18 (in part), and 19 through 32; Subtitle C, Part II, Provisions 4 through 6; and Subtitle C, Part III, Provisions 3 through 11

[2] The measure of income used to place tax returns into income categories is adjusted gross income ("AGI") plus (1) tax-exempt interest, (2) employer contributions for health plans and life insurance, (3) employer share of FICA tax, (4) workers' compensation, (5) nontaxable Social Security benefits, (6) insurance value of Medicare benefits, (7) alternative minimum tax preference items, (8) individual share of business taxes, and (9) excluded income of U S citizens living abroad Categories are measured at 2025 levels

[3] This analysis includes nonfiling taxpayers, and excludes individuals who are dependents of other taxpayers, and taxpayers with negative income Taxes include individual income tax (including the outlay portion of refundable credits) and employment tax (attributed to employees) Dollar amounts of tax change categories are measured at 2025 levels

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Calendar Year 2029

Income Category ^[2]	Percentage of Returns ^[3]				
	Tax Decrease		Tax Change of Less Than \$100	Tax Increase	
	Greater Than \$500	\$100 to \$500		\$100 to \$500	Greater Than \$500
Less than \$15,000.....	2.8 %	2.1 %	92.1 %	1.1 %	2.0 %
\$15,000 to \$30,000.....	14.5 %	34.4 %	44.5 %	2.0 %	4.5 %
\$30,000 to \$40,000.....	26.3 %	26.3 %	40.5 %	2.6 %	4.3 %
\$40,000 to \$50,000.....	44.0 %	14.1 %	34.3 %	3.1 %	4.5 %
\$50,000 to \$60,000.....	52.7 %	15.4 %	24.4 %	3.4 %	4.1 %
\$60,000 to \$80,000.....	60.3 %	11.4 %	19.6 %	4.0 %	4.7 %
\$80,000 to \$100,000.....	65.2 %	11.3 %	15.2 %	2.8 %	5.5 %
\$100,000 to \$150,000.....	77.2 %	8.1 %	5.2 %	2.6 %	7.0 %
\$150,000 to \$200,000.....	85.6 %	4.0 %	2.2 %	1.7 %	6.5 %
\$200,000 to \$500,000.....	90.7 %	1.7 %	1.0 %	1.0 %	5.5 %
\$500,000 to \$1,000,000.....	90.4 %	0.4 %	0.1 %	0.5 %	8.5 %
\$1,000,000 and Above.....	71.3 %	0.5 %	0.7 %	0.5 %	27.0 %
Total, All Taxpayers.....	52.9 %	12.6 %	27.0 %	2.4 %	5.1 %

Joint Committee on Taxation

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[1] This table provides a distributional analysis of individual returns' estimated tax changes from the provisions in JCX-22-25R, excluding Subtitle A, Part I, Provisions 6, 9, 10, 15, 16 (in part), and 17 through 22; Subtitle A, Part II, Provisions 4 through 11 and 13 through 16; Subtitle A, Part III; Subtitle B; Subtitle C, Part I, Provisions 1 through 17, 18 (in part), and 19 through 32; Subtitle C, Part II, Provisions 4 through 6; and Subtitle C, Part III, Provisions 3 through 11

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[3] This analysis includes nonfiling taxpayers, and excludes individuals who are dependents of other taxpayers, and taxpayers with negative income Taxes include individual income tax (including the outlay portion of refundable credits) and employment tax (attributed to employees) Dollar amounts of tax change categories are measured at 2025 levels

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Calendar Year 2031

Income Category ^[2]	Percentage of Returns ^[3]				
	Tax Decrease		Tax Change of Less Than \$100	Tax Increase	
	Greater Than \$500	\$100 to \$500		\$100 to \$500	Greater Than \$500
Less than \$15,000.....	3.3 %	3.0 %	90.7 %	1.0 %	2.0 %
\$15,000 to \$30,000.....	15.0 %	35.5 %	43.0 %	2.0 %	4.5 %
\$30,000 to \$40,000.....	28.3 %	25.1 %	39.9 %	2.5 %	4.2 %
\$40,000 to \$50,000.....	44.8 %	13.6 %	34.1 %	3.1 %	4.4 %
\$50,000 to \$60,000.....	53.5 %	15.9 %	22.9 %	3.6 %	4.1 %
\$60,000 to \$80,000.....	60.9 %	11.8 %	18.7 %	3.9 %	4.8 %
\$80,000 to \$100,000.....	65.9 %	11.5 %	14.6 %	2.6 %	5.4 %
\$100,000 to \$150,000.....	77.8 %	7.9 %	4.9 %	2.5 %	6.8 %
\$150,000 to \$200,000.....	85.7 %	3.8 %	2.1 %	2.0 %	6.4 %
\$200,000 to \$500,000.....	90.7 %	1.7 %	1.1 %	1.1 %	5.5 %
\$500,000 to \$1,000,000.....	90.0 %	0.4 %	0.3 %	0.3 %	9.0 %
\$1,000,000 and Above.....	70.1 %	0.5 %	0.7 %	0.5 %	28.1 %
Total, All Taxpayers.....	53.8 %	12.7 %	26.0 %	2.4 %	5.1 %

Joint Committee on Taxation

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Calendar Year 2033

Income Category ^[2]	Percentage of Returns ^[3]				
	Tax Decrease		Tax Change of Less Than \$100	Tax Increase	
	Greater Than \$500	\$100 to \$500		\$100 to \$500	Greater Than \$500
Less than \$15,000.....	3.6 %	3.8 %	89.5 %	0.9 %	2.1 %
\$15,000 to \$30,000.....	15.4 %	37.2 %	40.7 %	2.0 %	4.7 %
\$30,000 to \$40,000.....	29.3 %	24.7 %	39.3 %	2.5 %	4.2 %
\$40,000 to \$50,000.....	44.8 %	13.9 %	33.7 %	3.1 %	4.5 %
\$50,000 to \$60,000.....	53.0 %	16.3 %	22.7 %	3.8 %	4.2 %
\$60,000 to \$80,000.....	61.6 %	12.4 %	17.5 %	3.7 %	4.8 %
\$80,000 to \$100,000.....	66.5 %	10.8 %	14.6 %	2.7 %	5.4 %
\$100,000 to \$150,000.....	77.9 %	7.9 %	4.9 %	2.5 %	6.8 %
\$150,000 to \$200,000.....	86.1 %	3.7 %	1.8 %	2.1 %	6.3 %
\$200,000 to \$500,000.....	90.7 %	1.5 %	1.0 %	1.0 %	5.8 %
\$500,000 to \$1,000,000.....	89.3 %	0.4 %	0.2 %	0.3 %	9.9 %
\$1,000,000 and Above.....	69.4 %	0.5 %	0.6 %	0.4 %	29.0 %
Total, All Taxpayers.....	54.4 %	12.9 %	25.2 %	2.3 %	5.2 %

Joint Committee on Taxation

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Calendar Year 2027

Equivalized Income Quantile ^[2]	Percentage of Returns ^[3]				
	Tax Decrease		Tax Change of Less Than \$100	Tax Increase	
	Greater Than \$500	\$100 to \$500		\$100 to \$500	Greater Than \$500
Lowest Quintile (Less than P ₂₀).....	15.6 %	12.2 %	67.5 %	1.4 %	3.3 %
Second Quintile (P ₂₀ to P ₄₀).....	40.4 %	16.2 %	37.4 %	2.8 %	3.2 %
Third Quintile (P ₄₀ to P ₆₀).....	63.1 %	6.6 %	25.2 %	2.2 %	2.9 %
Fourth Quintile (P ₆₀ to P ₈₀).....	84.4 %	4.5 %	5.8 %	1.8 %	3.5 %
80th to 90th Percentile.....	89.2 %	2.6 %	2.4 %	1.4 %	4.4 %
90th to 95th Percentile.....	91.9 %	1.2 %	1.2 %	0.8 %	4.9 %
95th to 99th Percentile.....	94.8 %	0.5 %	0.5 %	0.5 %	3.7 %
99th to 99.9th Percentile.....	77.1 %	0.8 %	0.5 %	0.7 %	20.9 %
Highest 0.1 Percentile.....	64.4 %	0.5 %	1.5 %	0.5 %	33.0 %
Total, All Taxpayers.....	58.8 %	8.2 %	27.5 %	1.8 %	3.6 %

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[2] For the purpose of sorting tax returns by income, equivalized income accounts for the size of a tax unit by dividing the measure of income by the square root of the number of individuals in the tax unit. Income is measured as adjusted gross income ("AGI") plus (1) tax-exempt interest, (2) employer contributions for health plans and life insurance, (3) employer share of FICA tax, (4) workers' compensation, (5) nontaxable Social Security benefits, (6) insurance value of Medicare benefits, (7) alternative minimum tax preference items, (8) individual share of business taxes, and (9) excluded income of U.S. citizens living abroad. Equivalized income is used for sorting only and does not affect income or tax liabilities elsewhere in this analysis. Details are presented for taxpayers sorted into quintiles, each containing a fifth of all tax units, with the highest income quintile further sorted into smaller percentile groups.

[3] This analysis includes nonfiling taxpayers, and excludes individuals who are dependents of other taxpayers, and taxpayers with negative income. Taxes include individual income tax (including the outlay portion of refundable credits) and employment tax (attributed to employees). Dollar amounts of tax change categories are measured at 2025 levels.

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Calendar Year 2029

Equivalized Income Quantile ^[2]	Percentage of Returns ^[3]				
	Tax Decrease		Tax Change of Less Than \$100	Tax Increase	
	Greater Than \$500	\$100 to \$500		\$100 to \$500	Greater Than \$500
Lowest Quintile (Less than P ₂₀).....	15.1 %	13.7 %	65.7 %	1.6 %	4.0 %
Second Quintile (P ₂₀ to P ₄₀).....	30.0 %	25.0 %	37.4 %	3.1 %	4.6 %
Third Quintile (P ₄₀ to P ₆₀).....	55.1 %	13.0 %	24.3 %	3.3 %	4.3 %
Fourth Quintile (P ₆₀ to P ₈₀).....	77.2 %	8.7 %	5.7 %	2.7 %	5.8 %
80th to 90th Percentile.....	84.7 %	4.2 %	2.8 %	1.8 %	6.5 %
90th to 95th Percentile.....	89.8 %	1.7 %	1.3 %	1.0 %	6.3 %
95th to 99th Percentile.....	94.0 %	0.7 %	0.5 %	0.5 %	4.3 %
99th to 99.9th Percentile.....	74.4 %	0.7 %	0.4 %	0.8 %	23.7 %
Highest 0.1 Percentile.....	63.5 %	0.5 %	2.0 %	0.5 %	33.5 %
Total, All Taxpayers.....	52.9 %	12.6 %	27.0 %	2.4 %	5.1 %

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[2] For the purpose of sorting tax returns by income, equivalized income accounts for the size of a tax unit by dividing the measure of income by the square root of the number of individuals in the tax unit. Income is measured as adjusted gross income ("AGI") plus (1) tax-exempt interest, (2) employer contributions for health plans and life insurance, (3) employer share of FICA tax, (4) workers' compensation, (5) nontaxable Social Security benefits, (6) insurance value of Medicare benefits, (7) alternative minimum tax preference items, (8) individual share of business taxes, and (9) excluded income of U.S. citizens living abroad. Equivalized income is used for sorting only and does not affect income or tax liabilities elsewhere in this analysis. Details are presented for taxpayers sorted into quintiles, each containing a fifth of all tax units, with the highest income quintile further sorted into smaller percentile groups.

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Calendar Year 2031

Equivalized Income Quantile ^[2]	Percentage of Returns ^[3]				
	Tax Decrease		Tax Change of Less Than \$100	Tax Increase	
	Greater Than \$500	\$100 to \$500		\$100 to \$500	Greater Than \$500
Lowest Quintile (Less than P ₂₀).....	15.7 %	14.9 %	63.9 %	1.5 %	4.0 %
Second Quintile (P ₂₀ to P ₄₀).....	32.0 %	23.9 %	36.4 %	3.1 %	4.6 %
Third Quintile (P ₄₀ to P ₆₀).....	56.1 %	13.4 %	22.9 %	3.3 %	4.3 %
Fourth Quintile (P ₆₀ to P ₈₀).....	77.7 %	8.7 %	5.2 %	2.6 %	5.6 %
80th to 90th Percentile.....	85.2 %	3.8 %	2.6 %	1.8 %	6.6 %
90th to 95th Percentile.....	89.8 %	1.7 %	1.2 %	1.1 %	6.2 %
95th to 99th Percentile.....	93.8 %	0.7 %	0.6 %	0.5 %	4.4 %
99th to 99.9th Percentile.....	73.4 %	0.7 %	0.5 %	0.6 %	24.8 %
Highest 0.1 Percentile.....	63.3 %	0.5 %	2.0 %	0.5 %	33.7 %
Total, All Taxpayers.....	53.8 %	12.7 %	26.0 %	2.4 %	5.1 %

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Calendar Year 2033

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	Tax Decrease		Tax Change of Less Than \$100	Tax Increase	
	Greater Than \$500	\$100 to \$500		\$100 to \$500	Greater Than \$500
Lowest Quintile (Less than P ₂₀).....	16.0 %	16.4 %	62.1 %	1.5 %	4.1 %
Second Quintile (P ₂₀ to P ₄₀).....	33.5 %	23.6 %	35.1 %	3.1 %	4.7 %
Third Quintile (P ₄₀ to P ₆₀).....	56.9 %	13.5 %	22.1 %	3.3 %	4.2 %
Fourth Quintile (P ₆₀ to P ₈₀).....	78.4 %	8.4 %	4.9 %	2.6 %	5.7 %
80th to 90th Percentile.....	85.4 %	3.7 %	2.5 %	1.7 %	6.7 %
90th to 95th Percentile.....	90.0 %	1.6 %	1.1 %	1.1 %	6.2 %
95th to 99th Percentile.....	93.2 %	0.8 %	0.5 %	0.6 %	4.9 %
99th to 99.9th Percentile.....	72.6 %	0.5 %	0.4 %	0.5 %	25.8 %
Highest 0.1 Percentile.....	62.9 %	0.5 %	2.0 %	0.5 %	34.2 %
Total, All Taxpayers.....	54.4 %	12.9 %	25.2 %	2.3 %	5.2 %

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PROVISIONS FROM JCX-22-25R INCLUDED IN DISTRIBUTION TABLE JCX-24-25

SUBTITLE A - MAKE AMERICAN FAMILIES AND WORKERS THRIVE AGAIN

PART I. PERMANENTLY PREVENTING TAX HIKES ON AMERICAN FAMILIES AND WORKERS

Provision 1. Extension of modification of rates.

Provision 2. Extension of increased standard deduction and temporary enhancement (enhancement sunset 12/31/28).

Provision 3. Termination of deduction for personal exemptions.

Provision 4. Extension of increased child tax credit, SSN requirements, inflation indexing beginning 2029 (permanent), and temporary enhancement (sunset 12/31/28).

Provision 5. Extension of deduction for qualified business income and permanent enhancement.

Provision 7. Increase qualified business income deduction rate to 23 percent.

Provision 8. Modification to indexing for qualified business income deduction.

Provision 11. Extension of increased alternative minimum tax exemption and phase-out thresholds.

Provision 12. Extension of limitation on deduction for qualified residence interest; extension of limitation on casualty loss deduction; termination of miscellaneous itemized deductions.

Provision 13. Termination of overall limitation on itemized deductions.

Provision 14. Limitation on tax benefit of itemized deductions.

Provision 16 (in part). Extension of limitation on deduction for moving expenses.

PART II. ADDITIONAL TAX RELIEF FOR AMERICAN FAMILIES AND WORKERS

Provision 1. No tax on tips (sunset 12/31/28).

Provision 2. No tax on overtime (sunset 12/31/28).

Provision 3. Enhanced deduction for seniors (sunset 12/31/28).

Provision 12. Reinstatement of partial deduction for charitable contributions of individuals who do not elect to itemize (sunset 12/31/28).

SUBTITLE C - MAKE AMERICA WIN AGAIN

PART I. WORKING FAMILIES OVER ELITES

Provision 18 (in part). Individuals' limitation on individual deductions for certain State and local taxes.

PROVISIONS FROM JCX-22-25R INCLUDED IN DISTRIBUTION TABLE JCX-24-25 *(continued)*

SUBTITLE C - MAKE AMERICA WIN AGAIN

PART II. REMOVING TAXPAYER BENEFITS FOR ILLEGAL IMMIGRANTS

Provision 1. Permitting premium tax credit only for certain individuals.

Provision 2. Certain aliens ineligible for premium tax credit.

Provision 3. Disallowing premium tax credit during periods of Medicaid ineligibility due to alien status.

PART III. PREVENTING FRAUD, WASTE, AND ABUSE

Provision 1. Requiring Exchange verification of eligibility for health plans.

Provision 2. Disallowing premium tax credit in case of certain coverage enrolled in during special enrollment period.

Provision 12. Interactions of health policies in Subtitle C.

PROVISIONS FROM JCX-22-25R EXCLUDED FROM DISTRIBUTION TABLE JCX-24-25

SUBTITLE A - MAKE AMERICAN FAMILIES AND WORKERS THRIVE AGAIN

PART I. PERMANENTLY PREVENTING TAX HIKES ON AMERICAN FAMILIES AND WORKERS

Provision 6. Modification to qualified business income deduction phaseout.

Provision 9. Business development corporation income qualifies for the qualified business income deduction.

Provision 10. Extension of increased estate and gift tax exemption amounts and permanent enhancement.

Provision 15. Termination of qualified bicycle commuting reimbursement exclusion.

Provision 16 (in part). Extension of limitation on exclusion for moving expenses.

Provision 17. Extension of limitation on wagering losses.

Provision 18. Extension of increased limitation on contributions to ABLE Accounts and permanent enhancement.

Provision 19. Extension of savers credit allowed for ABLE contributions.

Provision 20. Extension of rollovers from qualified tuition programs to ABLE accounts permitted.

Provision 21. Extension of treatment of certain individuals performing services in the Sinai Peninsula and enhancement to include additional areas.

Provision 22. Extension of exclusion from gross income of student loans discharged on account of death or disability.

PART II. ADDITIONAL TAX RELIEF FOR AMERICAN FAMILIES AND WORKERS

Provision 4. No tax on car loan interest (sunset 12/31/28).

Provision 5. Enhancement of employer-provided child care credit.

Provision 6. Extension and enhancement of paid family and medical leave credit (45S).

Provision 7. Enhancement of adoption tax credit.

Provision 8. Recognizing Indian tribal governments for purposes of determining whether a child has special needs for purposes of the adoption credit.

Provision 9. Tax credit for contributions of individuals to scholarship granting organizations (credit sunset 12/31/29).

Provision 10. Additional elementary, secondary, and home school expenses treated as qualified higher education expenses for purposes of 529 accounts.

Provision 11. Certain postsecondary credentialing expenses treated as qualified higher education expenses for purposes of 529 accounts.

Provision 13. Exclusion for certain employer payments of student loans under educational assistance programs made permanent and adjusted for inflation.

Provision 14. Extension of rules for treatment of certain disaster-related personal casualty losses.

Provision 15. MAGA accounts.

PROVISIONS FROM JCX-22-25R EXCLUDED FROM DISTRIBUTION TABLE JCX-24-25 *(continued)*

SUBTITLE A - MAKE AMERICAN FAMILIES AND WORKERS THRIVE AGAIN

PART II. ADDITIONAL TAX RELIEF FOR AMERICAN FAMILIES AND WORKERS

Provision 16. MAGA accounts contribution pilot program.

PART III. INVESTING IN HEALTH OF AMERICAN FAMILIES AND WORKERS (All Provisions)

SUBTITLE B - MAKE RURAL AMERICA AND MAIN STREET GROW AGAIN (All Provisions)

SUBTITLE C - MAKE AMERICA WIN AGAIN

PART I. WORKING FAMILIES OVER ELITES

Provision 1. Termination of previously-owned clean vehicle credit.

Provision 2. Termination of clean vehicle credit.

Provision 3. Termination of qualified commercial clean vehicles credit.

Provision 4. Termination of alternative fuel vehicle refueling property credit.

Provision 5. Termination of energy efficient home improvement credit.

Provision 6. Termination of residential clean energy credit.

Provision 7. Termination of new energy efficient home credit.

Provision 8. Phase out and restrictions on clean electricity production credit.

Provision 9. Phase out and restrictions on clean electricity investment credit.

Provision 10. Repeal of transferability of clean fuel production credit.

Provision 11. Restrictions on carbon oxide sequestration credit.

Provision 12. Phase out and restrictions on zero-emission nuclear power production credit.

Provision 13. Termination of clean hydrogen production credit.

Provision 14. Phase-out and restrictions on advanced manufacturing production credit.

Provision 15. Phase-out of credit for certain energy property.

Provision 16. Income from hydrogen storage, carbon capture added to qualifying income of certain publicly traded partnerships treated as corporations.

Provision 17. Limitation on amortization of certain sports franchises.

PROVISIONS FROM JCX-22-25R EXCLUDED FROM DISTRIBUTION TABLE JCX-24-25 *(continued)***SUBTITLE C - MAKE AMERICA WIN AGAIN****PART I. WORKING FAMILIES OVER ELITES**

- Provision 18 (in part). Denial of certain passthrough entity tax deductions for certain State and local taxes.
- Provision 19. Excessive employee remuneration from controlled group members and allocation of deduction.
- Provision 20. Expanding application of tax on excess compensation within tax-exempt organizations.
- Provision 21. Modification of the excise tax on net investment income of private colleges and universities.
- Provision 22. Increase in rate of tax on net investment income of certain private foundations.
- Provision 23. Certain purchases of employee-owned stock disregarded for purposes of foundation tax on excess business holdings.
- Provision 24. Unrelated business taxable income increased by amount of certain fringe benefit expenses for which deduction is disallowed.
- Provision 25. Name and logo royalties treated as unrelated business taxable income.
- Provision 26. Exclusion of research income limited to publicly available research.
- Provision 27. Limitation on excess business losses of noncorporate taxpayers.
- Provision 28. 1-percent floor on deductions of charitable corporations made by corporations.
- Provision 29. Enforcement of remedies against unfair foreign taxes.
- Provision 30. Reduction of excise tax on firearms silencers.
- Provision 31. Modifications to de minimis entry privilege for commercial shipments.
- Provision 32. Limitation on drawback of taxes paid with respect to substituted merchandise.

PART II. REMOVING TAXPAYER BENEFITS FOR ILLEGAL IMMIGRANTS

- Provision 4. Limiting Medicare coverage of certain individuals.
- Provision 5. Excise tax on remittance transfers.
- Provision 6. Social security number requirement for American opportunity and lifetime learning credits.

PART III. PREVENTING FRAUD, WASTE, AND ABUSE

- Provision 3. Eliminating limitation on recapture of advance payment of premium tax credit.
- Provision 4. Implementing artificial intelligence for the purposes of reducing and recouping improper payments under Medicare.
- Provision 5. Enforcement provisions with respect to COVID-related employee retention credits.
- Provision 6. Earned income tax credit reforms.

PROVISIONS FROM JCX-22-25R EXCLUDED FROM DISTRIBUTION TABLE JCX-24-25 *(continued)*

SUBTITLE C - MAKE AMERICA WIN AGAIN

PART III. PREVENTING FRAUD, WASTE, AND ABUSE

Provision 7. Task force on the termination of direct file.

Provision 8. Postponement of tax deadlines for hostages and individuals wrongfully detained abroad.

Provision 9. Termination of tax-exempt status of terrorist-supporting organizations.

Provision 10. Increase in penalties for unauthorized disclosures of taxpayer information.

Provision 11. Restrictions on regulation of contingency fees with respect to tax returns, etc.

NUMBER OF RETURNS BY INCOME CATEGORY

Calendar Years

Income Category ^[1]	Number of Returns ^[2] (Thousands)			
	2027	2029	2031	2033
Less than \$15,000.....	19,694	19,940	19,888	19,914
\$15,000 to \$30,000.....	23,247	23,365	23,210	22,864
\$30,000 to \$40,000.....	16,293	16,482	16,534	16,669
\$40,000 to \$50,000.....	14,397	14,618	14,837	15,051
\$50,000 to \$60,000.....	13,476	13,699	13,960	14,175
\$60,000 to \$80,000.....	23,073	23,509	23,917	24,285
\$80,000 to \$100,000.....	16,939	17,444	17,979	18,449
\$100,000 to \$150,000.....	26,959	27,545	28,309	29,108
\$150,000 to \$200,000.....	14,845	14,905	15,190	15,512
\$200,000 to \$500,000.....	20,972	21,157	21,614	22,195
\$500,000 to \$1,000,000.....	2,785	2,763	2,768	2,787
\$1,000,000 and Above.....	1,178	1,142	1,134	1,138
Total, All Taxpayers.....	193,858	196,569	199,339	202,148

Joint Committee on Taxation

Note: Details may not add to totals due to rounding

[1] The measure of income used to place tax returns into income categories is adjusted gross income ("AGI") plus (1) tax-exempt interest, (2) employer contributions for health plans and life insurance, (3) employer share of FICA tax, (4) workers' compensation, (5) nontaxable Social Security benefits, (6) insurance value of Medicare benefits, (7) alternative minimum tax preference items, (8) individual share of business taxes, and (9) excluded income of U S citizens living abroad Categories are measured at 2025 levels

[2] This analysis includes nonfiling taxpayers, and excludes individuals who are dependents of other taxpayers, and taxpayers with negative income

NUMBER OF RETURNS BY EQUIVALIZED INCOME QUANTILE

Equivalized Income Quantile ^[1]	Calendar Years			
	Number of Returns ^[2] (Thousands)			
	2027	2029	2031	2033
Lowest Quintile (Less than P ₂₀).....	38,767	39,315	39,871	40,428
Second Quintile (P ₂₀ to P ₄₀).....	38,776	39,313	39,865	40,430
Third Quintile (P ₄₀ to P ₆₀).....	38,772	39,312	39,869	40,431
Fourth Quintile (P ₆₀ to P ₈₀).....	38,773	39,314	39,868	40,431
80th to 90th Percentile.....	19,385	19,657	19,933	20,214
90th to 95th Percentile.....	9,693	9,827	9,967	10,108
95th to 99th Percentile.....	7,755	7,863	7,973	8,086
99th to 99.9th Percentile.....	1,744	1,769	1,794	1,819
Highest 0.1 Percentile.....	194	197	199	202
Total, All Taxpayers.....	193,858	196,569	199,339	202,148

Joint Committee on Taxation

Note: Details may not add to totals due to rounding

[1] For the purpose of sorting tax returns by income, equivalized income accounts for the size of a tax unit by dividing the measure of income by the square root of the number of individuals in the tax unit. Income is measured as adjusted gross income ("AGI") plus (1) tax-exempt interest, (2) employer contributions for health plans and life insurance, (3) employer share of FICA tax, (4) workers' compensation, (5) nontaxable Social Security benefits, (6) insurance value of Medicare benefits, (7) alternative minimum tax preference items, (8) individual share of business taxes, and (9) excluded income of U.S. citizens living abroad. In distributional analysis, equivalized income is used for sorting only and does not affect income or tax liabilities elsewhere in the analysis. Details are presented for taxpayers sorted into quintiles, each containing a fifth of all tax units, with the highest income quintile further sorted into smaller percentile groups.

[2] This analysis includes nonfiling taxpayers, and excludes individuals who are dependents of other taxpayers, and taxpayers with negative income.

DISTRIBUTION OF EQUIVALIZED INCOME USED FOR DISTRIBUTIONAL ANALYSIS

Calendar Years

Percentile of the Distribution ^[1]	Equivalized Income ^[2]			
	2027	2029	2031	2033
20th Percentile (P ₂₀).....	\$ 25,000	\$ 26,900	\$ 29,200	\$ 31,600
40th Percentile (P ₄₀).....	\$ 47,400	\$ 51,100	\$ 55,200	\$ 59,600
60th Percentile (P ₆₀).....	\$ 74,900	\$ 80,300	\$ 86,300	\$ 92,800
80th Percentile (P ₈₀).....	\$ 120,200	\$ 128,200	\$ 137,000	\$ 146,700
90th Percentile (P ₉₀).....	\$ 170,400	\$ 181,400	\$ 193,600	\$ 207,000
95th Percentile (P ₉₅).....	\$ 233,500	\$ 247,900	\$ 264,100	\$ 282,000
99th Percentile (P ₉₉).....	\$ 526,000	\$ 550,200	\$ 580,900	\$ 616,400
99.9th Percentile (P _{99.9}).....	\$ 2,042,000	\$ 2,086,600	\$ 2,141,500	\$ 2,226,300

Joint Committee on Taxation

Note: Details may not add to totals due to rounding

[1] The population of taxpayers represented includes nonfiling taxpayers, and excludes individuals who are dependents of other taxpayers, and taxpayers with negative income

[2] Equivalized income accounts for the size of a tax unit by dividing the measure of income by the square root of the number of individuals in the tax unit. Income is measured as adjusted gross income ("AGI") plus (1) tax-exempt interest, (2) employer contributions for health plans and life insurance, (3) employer share of FICA tax, (4) workers' compensation, (5) nontaxable Social Security benefits, (6) insurance value of Medicare benefits, (7) alternative minimum tax preference items, (8) individual share of business taxes, and (9) excluded income of U.S. citizens living abroad. In distributional analysis, equivalized income is used for sorting only and does not affect income or tax liabilities elsewhere in the analysis. Percentile values of equivalized income are rounded to the nearest \$100 in the table.

Because a tax unit's equivalized income is the tax unit's income divided by the square root of the number of individuals in the tax unit, increasing the number of individuals while holding income fixed reduces equivalized income, though the rate of reduction declines with each additional individual, reflecting economies of scale in consumption for larger tax units. For example, with \$100,000 in income, a tax unit with a single individual has an equivalized income of \$100,000 ($\$100,000 \div \sqrt{1}$), with two individuals has an equivalized income of \$70,711 ($\$100,000 \div \sqrt{2}$), with three individuals has an equivalized income of \$57,735 ($\$100,000 \div \sqrt{3}$), and with four individuals has an equivalized income of \$50,000 ($\$100,000 \div \sqrt{4}$). As the number of individuals increases, the reduction from income to equivalized income declines: the second individual reduces equivalized income by \$29,289 ($\$100,000$ less \$70,711), the third individual by \$12,976, and the fourth individual by \$7,735. In 2027, a tax unit with \$100,000 in income and a single individual is in the fourth quintile (between the 60th and 80th percentiles) of equivalized income while tax units with the same income and two to four individuals are in the third quintile (between the 40th and 60th percentiles).